

partner with companies even before the seed stage, and keep them within its portfolio for longer. At the same time, it wants to defend its ownership in the companies that are breaking out for longer periods of time. Two, it wants to commit more time and capital to the Southeast Asia market.

“In our early funds, we could do a seed cheque. After that, we will have to keep coming down. You can’t even defend pro-rata, given the [early-stage smaller] fund will only support that much. The larger fund makes it almost like a continuum,

erates a programme called Seed-ToScale that nurtures seed-stage founders by enabling access to angels, micro-VCs, and executives, as well as the larger Accel community. The community also acts as early users and customers for the products developed under the programme.

On the other end, Accel also wants to cement its footprint in the Southeast Asian markets where it began investing a few years ago. It has set up a local team in Jakarta, Indonesia, and has backed over 10 companies in that market so far including fintech start-ups Pluang and

tors rate its performance. In the case of Accel, Parag Dhol, General Partner at Athera Venture Partners, says that Accel has made some excellent investments over the years. “They are very supportive towards their entrepreneurs, and stick with them for a long time, much longer than most other VCs in India before deciding to cut the cord if they have to. It’s been a risk-taking fund, willing to back people very early on, and cultivated the right relationships in the ecosystem, their partnership with Tiger [Global] being an example,” adds Dhol, a long-time investor in

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which helps us defend pro-rata, or our ownership to a certain point, after which it can be handed over to the Growth- or Leaders Fund. Not all companies go through that funnel, but for the ones that do, we have a disproportionate share of ownership in what we think might be the winners,” explains Subramanian.

The VC firm’s pre-seed initiative, Atmos—that has partnered with 14 very early-stage start-ups in the first cohort, and another 10 in the second cohort—provides entrepreneurs with an opportunity to work with a sponsored Accel Partner, and get personalised mentorship from a pool of 60-odd business leaders. The selected start-ups also receive \$250,000 in non-dilutive funding. Swaroop, who leads the Atmos programme, says that Accel has led- or co-led investment rounds in every start-up from the programme that has secured follow-on funding.

Not only that, the fund also op-

Xendit, blockchain gaming platform Axie Infinity, blockchain data-analytics firm Nansen, and quick commerce platform Astro.

The fund’s early call that e-commerce was going to be a huge value driver, and raising enough funds to have a strong presence in the segment proved to be key for its early success. The fund continued with the momentum generated by its e-commerce bets to set strong sectoral theses around SaaS and B2B commerce, and found niche start-ups early on, such as Zenoti that provides SaaS-based software solutions for the spa and salon industry, or Moglix that operates a B2B marketplace. SaaS and B2B platforms now account for nine of the 22 unicorns in its 200-odd strong portfolio in India. Accel wants to expand the same playbook and replicate its India success in Southeast Asia.

It is said that a business’s worth can be measured by how its competi-

India who has known partners at Accel from their Erasmus days, and has also co-invested with them.

But cultivating the right relationships doesn’t guarantee success as the VC has to identify potential growth segments, says Tracxn’s Goyal, adding he was hired by Accel for his understanding of the internet and tech space. “They were very bullish on tech and internet from early on, which was not a strong case for most other funds during the 2008-10 period. Accel had the foresight that internet and technology will become very large, and that they need to be there,” he adds.

As the pace of venture investing slows down, and entrepreneurs become comfortable with lower valuations for their companies, Accel’s principle of being the first partner of choice will carry a degree of authority in the start-up world. **BT**

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